# CONVERSION OPTIMIZATION PROCESS

R E L O A D I N G

UFX MARKETS

# 1. RETREAT INTO BANALITY

Definition and importance of CRO


CRO – is a strategy of increasing website leads and profits **without spending money** to attract more visitors by increasing conversion.

Many of our old LPs are not optimal from the standpoint of the theory and principles of creating effective campaigns.


World experience shows that no matter how good an LP appears, it can always be improved further.

# Goals / arguments in favor of CRO

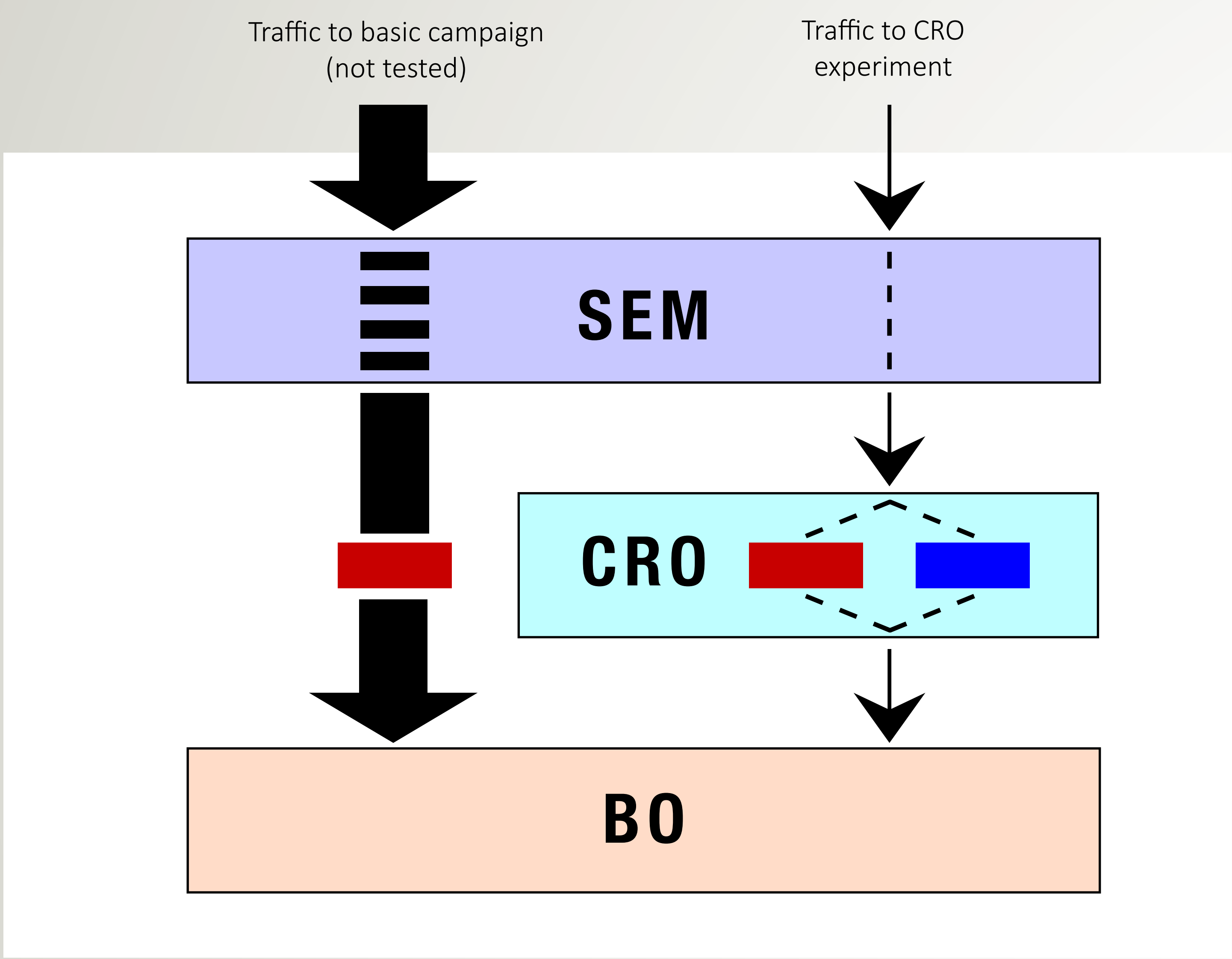
- We get more customers (leads, traders), free.
- Improvement of CPL (CPA) and, consequently, ROI.
- Getting guides for further campaigns and creatives.
- The "slight edge" phenomenon - the winner takes most.

  (if you want to be twice as profitable as your competitors, you don't have to be twice as good as them. You just have to be slightly better).

# 2. How we implement the process

And why current approach doesn't make sense.

# The current process scheme




Bandwidth traffic to CRO, is on average 1/10 – 1/15 of the total traffic per each running campaign.

# What does this mean?


- Testing of each LP takes 10-15 times longer than what is feasible for us.
- Results show that receiving results from a single test under those conditions requires 2 months to 1 year!
  (Instead of possible 5 days - 1 month).

# How does this effect us?

- The results that we get from testing come too late and in fact are irrelevant.
- Duplication of campaigns result in increasing the bid rate of the same keywords.

CRO campaigns do not get enough attention and working time.

# How does this manifest?

- Only the content-promotion is used (instead of search + content).
- Tracking parameters and other technical information are not filled.
- Other keywords for CRO campaigns are used.
- Campaigns are promoted in secondary places.

# Where does this lead?


- CRO campaigns dramatically and fundamentally different from its major counterparts.
- CRO campaigns do not work with the same target audience.
- Their CR (CTL) is on average at 3-8 times lower!

# SO...

Rarely is the test associated with the campaigns themselves, for which the test is performed.

In sum, this method of testing reduces the CRO to zero!

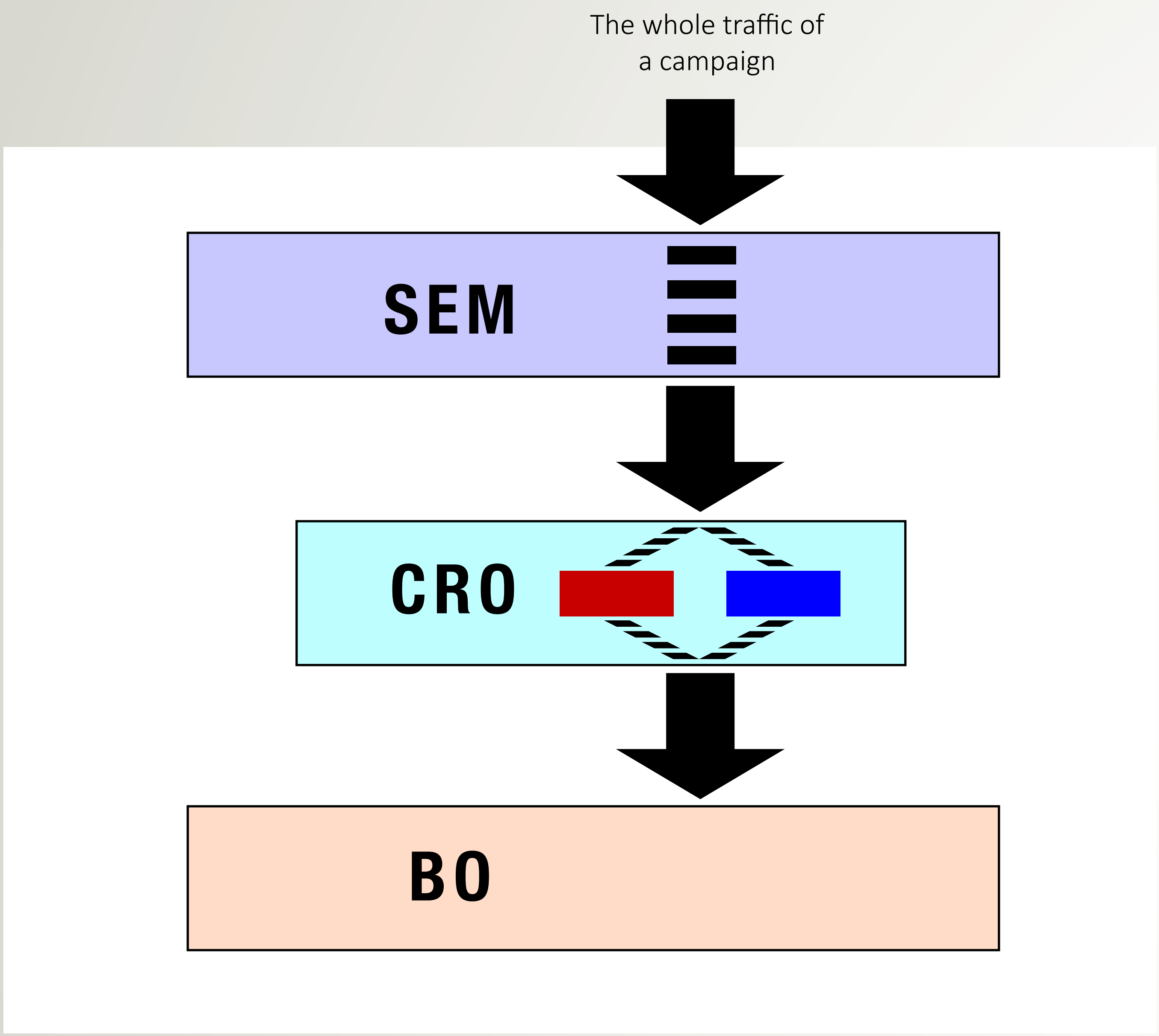

# After all that was said, think:

The company allocates an additional budget to this process.

# 3. What is to be implemented

Or a correct statement
of the process.

# The suggested process scheme:




- The main campaigns are tested, not additional ones.
- All traffic for these campaigns are being used.
- SEM holds the promotion of the campaign, as usual, using a single link; BO also handles the statistics receiving it for the single link.

# The advantages:

The speed of getting the test results increases by 10-15 times!

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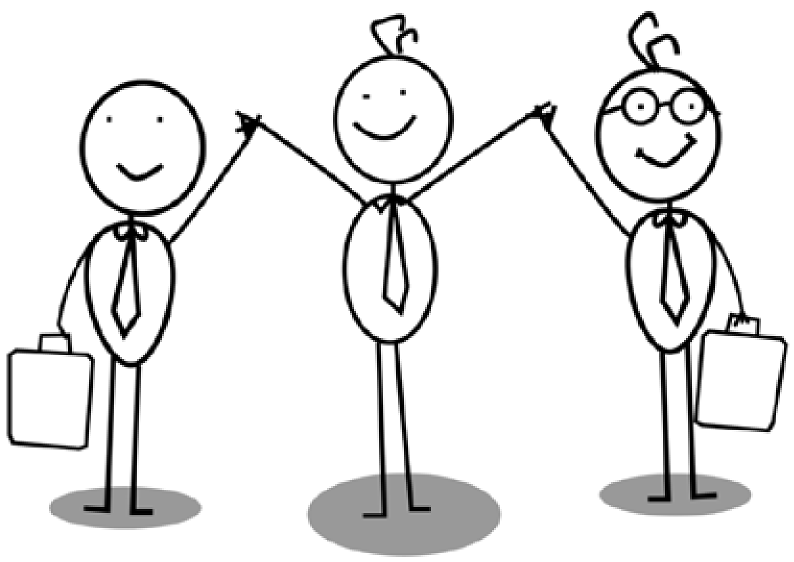
- All the results are relevant and timely.
- Optimization on many factors becomes possible.
- Carrying out both a strategic (getting the general instructions for future designs) and tactical research (improvement the current LPs, defining the most effective analogues).

# The advantages:



Automatically solve the issue with attention to CRO projects.

# The advantages:

No additional budget for further traffic is needed.

(Except cases when unused by SEM, new or old campaigns will be tested).

# 4. Still doubting?

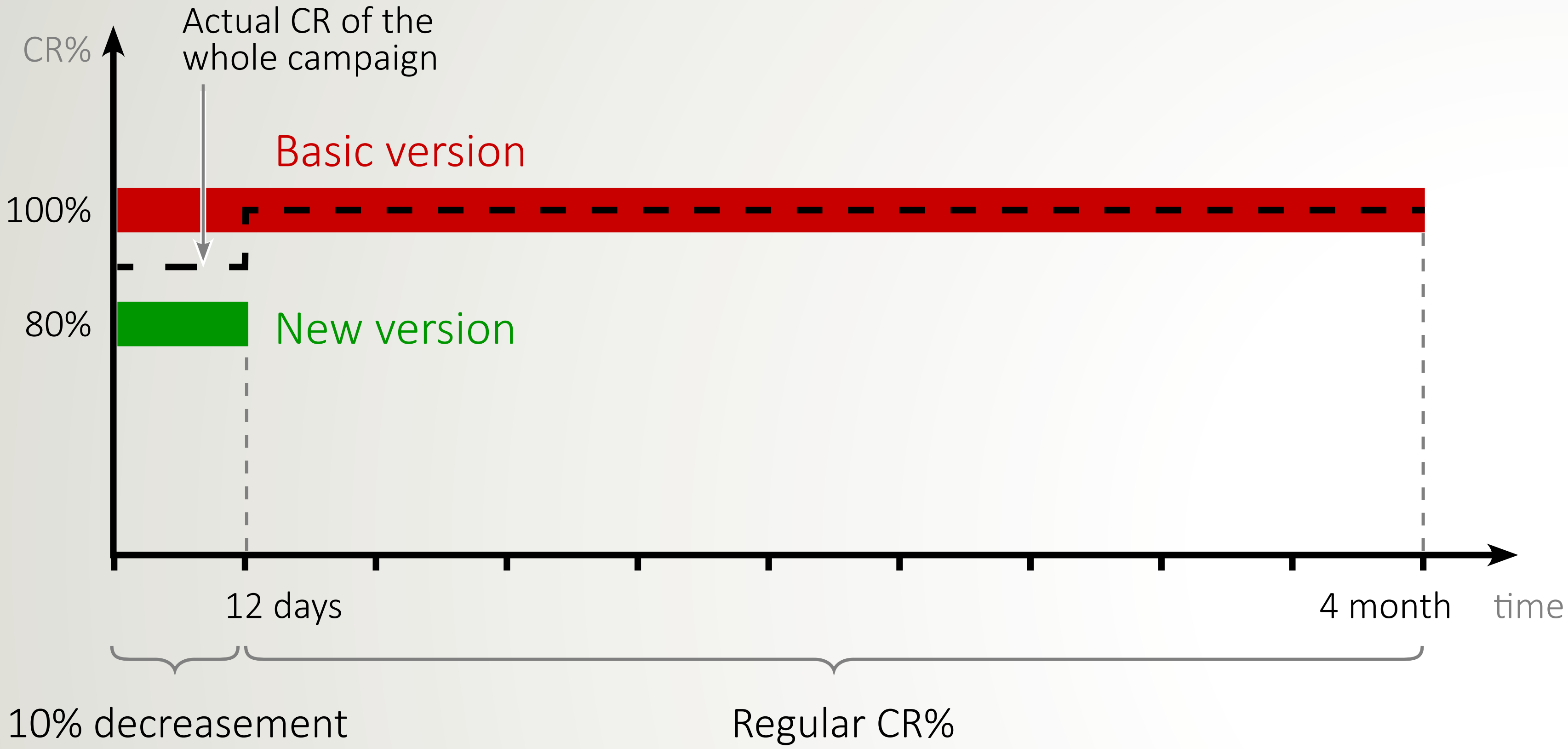
Doubts and answers

“What if the test will show no improvement but deterioration? We’ll lose leads (goals, part of budget) in this case”.

Theoretically it is possible. But let’s look at this closer:

# CR in case of a negative result

(new version is 20% worse)




Overall CR for the whole period of testing:

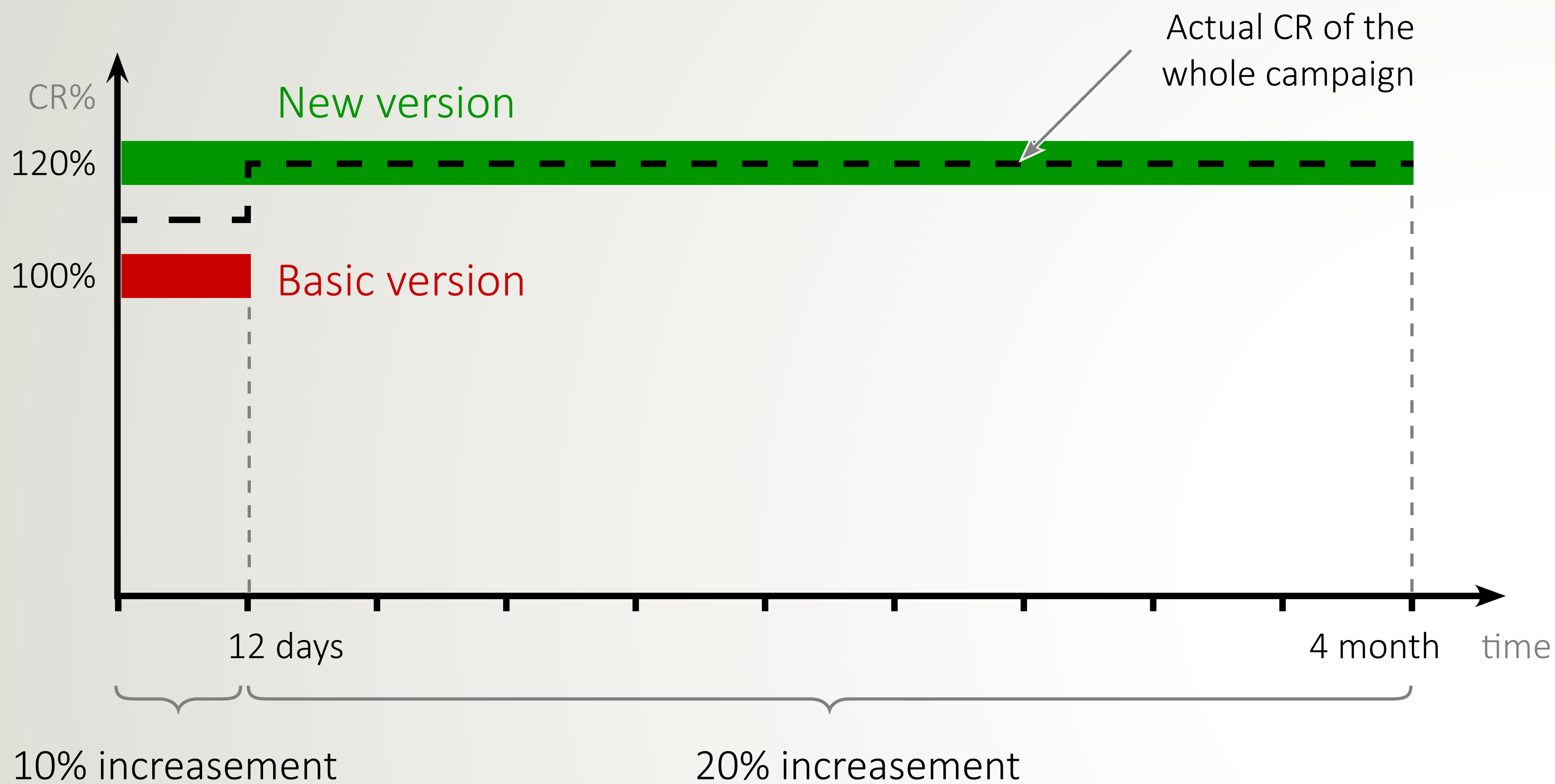
**99%** of the initial

Results are known 12 days (on average) after the start of the test. A decision is then made as to what version of LP to keep and which to eliminate.

To get average data, we consider the situation for a single test, assume that the probability of a positive/negative result = 50/50 (actually the positive result is more likely), and the value of deterioration/improvement = 20% (the average value).
4 months - the average time of getting result and decision for today's process.

# CR in case of a positive result

(new version is 20% better)




Overall CR for the whole period of testing:

**119%** of the initial

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To get average data, we consider the situation for a single test, assume that the probability of a positive/negative result = 50/50 (actually the positive result is more likely), and the value of deterioration/improvement = 20% (the average value).
4 months - the average time of getting result and decision for today's process.

Or, let's rephrase:

Would you bet 1%
of the expected results
for a 50+% chance to
receive a **20%** increase?

# And, in addition:

- In fact, the **probability of obtaining a positive result** in each test is **higher** than the negative because all the assumptions for test are based on analysis and preliminary studies.

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  2 tests: < 25%,    3 tests: < 12%,    4 tests: < 6 % ...

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  That is, **during a series of tests, a positive result is practically guaranteed**.

# Thank You

for your attention!